NATIONAL ASSEMBLY 7TH PARLIAMENT

PARLIAMENTARY STANDING COMMITTEE ON ECONOMICS AND PUBLIC ADMINISTRATION

REPORT ON A MOTION TITLED "THAT THIS HOUSE [NATIONAL ASSEMBLY] CARRIES OUT A COMPREHENSIVE INQUIRY INTO ALL ASPECTS OF THE PROCEDURES DICTATING THE TENDER-AWARDING PROCESS OF THE CENTRAL PROCUREMENT BOARD OF NAMIBIA"

Report No. 7 of 2025

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1. INTRODUCTION/BACKGROUND

The Motion titled "*that this House [National Assembly] carries out a comprehensive inquiry into all aspects of the procedures dictating the tender-awarding process of the Central Procurement Board of Namibia* by Hon. Nico Smith was referred by the National Assembly to the Parliamentary Standing Committee on Economics and Public Administration for further investigation, recommendation and report back to the National Assembly.

The issues and prayers raised in the Motion include the following:

"It is globally accepted that public procurement is a key determinant of effective policy implementation in achieving national goals. The public procurement process is one of few processes that acts to bring our national budget to life by deploying the funds necessary to execute plans and fulfill our national aspirations, across all sectors. By the most recent Appropriation Bill the executive arm of Government was allocated N$72 billion of which a significant portion, after salaries, will enter the market, via the public procurement process. It is the mover's wish that more of this will circulate in the country than exiting the local economy.

The Central Procurement Board of Namibia is a gate of sorts, for taxpayers 'money – for which we have been charged to act as custodians, to ensure value for every dollar and meeting the needs of the Namibian people. As such it is absolutely imperative that the Board, which was established by the Public Procurement Act, Act 15 of 2015 as amended, enjoys priority at the highest level, but that it [the Board] is also reviewed and fortified. The Central Procurement Board has almost consistently been at the centre of widespread public debate, concern and controversy.

The issues are beyond the institution and extends to the procurement culture in its entirety. There are allegations of the manipulation of the procurement process to allow for emergency procurement; non-compliance – sans consequence; unnecessary provision of the middlemen; negligence in the performance of due diligence; information going under the radar of the relevant institutions such as changes in business names and ownership; inadvertence regarding conflicts of interest. Allegations of: insider trading; briefcase operations; pursuing the ''loot" through "tender-preneurship"; dishonesty; favouritism; elitism; and substandard goods and services provided to the government at grossly inflated costs. As a result, distrust, perceptions of procedural unfairness, corruption and misappropriation are regular themes of public discourse as it relates to the tender-awarding process.

Any compromise, any loophole, any threat to the integrity and efficacy of the CPBN is a weakness in the policy implementation infrastructure of the country, its economy, the delivery and quality of public services, the execution and actualization of development plans, the standard of living of our people, national pride and even Namibia's place in the global village.

This House [National Assembly] ought to carry out a comprehensive inquiry into all aspects of the procedures dictating the tender-awarding processes of the Central Procurement Board of Namibia – and identify where there are weaknesses that need remedying – particularly in the sphere of due diligence to restore public confidence and trust."

The Committee held public hearings with the chairperson and senior management of the Central Procurement Board of Namibia to solicit their view and inputs on the Motion.

The report highlights the discussion, findings and recommendations of the public hearing.

2. METHODOLOGY

The Committee held a meeting with the mover of the motion and on 26 June 2024 a public hearing with the chairperson and senior management of the Central Procurement Board of Namibia, to solicit inputs on the motion. The questionnaire was administered to the Central Procurement Board of Namibia based on the motion. CPBN was requested to make a presentation to the Committee.

3. PURPOSE OF THE REPORT

The purpose of this report is to report back to the National Assembly the outcome of the investigation on the Motion in terms of findings, and recommendations for discussion, consideration and adoption.

4. FINDINGS, OBSERVATIONS AND DISCUSSIONS

4.1 OBJECTS OF THE ACT

The objects of the Public Procurement Act, Act 15 of 2015 as amended are amongst other to:

(a) promote integrity, accountability, transparency, competitive supply, effectiveness, efficiency, fair-dealing, value for money, responsiveness, informed decision-making, consistency, legality and integration in the procurement, the letting and hiring of anything, the acquisition or granting of rights and the disposal of assets;
(b) promote, facilitate and strengthen measures to implement the empowerment and industrialization policies of the Government;
(c) create jobs for Namibian citizens;
(d) empower Namibian registered small and medium enterprises, by creating economic opportunity;
(e) source goods manufactured, mined, extracted or grown in Namibia and local services and labour;

(f) regulate the letting and hiring of anything or the acquisition or granting of any right and the disposal of assets.

4.2 THE CENTRAL PROCUREMENT BOARD OF NAMIBIA

The CPBN has been established by Section 8 of the Public Procurement Act, (Act No. 15 of 2015) as amended with the primary objectives to:

(a) Conduct the bidding process on behalf of public entities for the award of contracts for procurement or disposal of assets that exceed the threshold prescribed for public entities;
(b) Direct and supervise accounting officers in managing the implementation of procurement contracts awarded by the Board.

CPBN has a wide range of powers and functions to carry out its mandate which include the following:

The powers and functions of the Board in relation to procurement or disposal of assets are to:

(a) call for such relevant information and documents as it may require from any public entity;
(b) examine such records or other documents and take copies or extracts from them;
(c) commission any studies relevant to the determination of the award of procurement or disposal contracts;
(d) request any professional or technical assistance from any appropriate person in Namibia or elsewhere;
(e) establish appropriate internal procedures for the operations of the Board and ensure compliance with them;
(f) approve bidding documents and notices submitted to it by public entities;
(g) invite bids and initiate pre-qualification and post-qualification for procurements or disposal of assets;
(h) receive and publicly open bids;
(i) appoint persons to act as members of a bid evaluation committee of the Board, including representatives nominated by the relevant public entities;
(j) oversee the examination and evaluation of bids;
(k) approve procurement methods and to consider for approval the recommendations from the bid evaluation committee for award of procurement or disposal contracts;
(l) review the recommendations of a bid evaluation committee, and—
    (i) to approve or reject the recommendation of the bid evaluation committee to award a contract; or
    (ii) to require the bid evaluation committee where applicable to make a new or further evaluation on specified grounds; or
    (iii) to report to the Minister any decision of the Board not implemented by the public entity within the prescribed period; and

(m) do such things, not inconsistent with the Act, as it may consider necessary or expedient to achieve the objects of the Act.

The Board must strive to achieve high standards of transparency and accountability taking into account the objects of the Act and the need to obtain the best value for money.

The Board exercises such powers and performs such functions as conferred or assigned to it by or under the Act or any other law. If, in the discharge of its functions, the Board establishes that there is a non-compliance with any provision of this Act, directives, code of procedures or guidelines made under this Act, the Board must refer the matter to the Policy Unit for necessary action in terms of section 7(4).

CPBN started its operations on the 1st April 2017. The board consist of nine members appointed by the Minister of Finance and Public Enterprises. The administration of the board is headed by the CEO. The board meets every Thursday to adjudicate on various procurement contracts or awards. All staff of the board are vetted to ensure that the persons with the required values and integrity are employed at the CPBN.

All public entities have been categorized into three categories and procurement has been categorized into four different areas i.e. procurement of goods, procurement of works (e.g. construction, consultancy services etc.), professional consultancy and non-consultancy services (e.g. security, cleaning etc.).

Based on the categorization of public entities, some procurement is done by the public entities directly and some are being considered by the board.

For example, supply of goods below N$25 million is handled by the Ministry itself and not by the board. If it is construction and below N$35 million, procurement will be dealt with the Ministry or statutory body itself.

The board does not decide on the business needs of a public entity but the public entity does it based on its mandate and functions.

The Board looks at the following evaluation criteria when considering bid documents:

(a) How the requirement is tailored or "engineered" to minimize bias and meet general application

(b) Provision of financial certificate, a budget and availability of funds to commence with the procurement.

(c) Newspapers advertisement which should run for a minimum of 30 days.

(d) Appointment of the Bid Evaluation Committee members by the concerned public entity.

The Board consist of nine (9) members, appointed by the Minister of Finance and Public Enterprises in terms of Section 11 (1) of PPA.

In terms of Section 11 (1) (b) such members must be fit and proper persons having knowledge and experience relevant to the functions of the Board.

The Board is supported by administration (vetted staff) in carrying out its function

4.3 PROCUREMENT THRESHOLDS (ELIGIBILITY)

In terms of Section 8 (a), the Board is mandated to conduct procurement or disposal of assets that exceed the threshold prescribed for Public Entities.

Annexure 1
PROCUREMENT THRESHOLDS FOR PUBLIC ENTITIES
(Section 8(a) of Act)
(Regulation 2)

Public entities	Types of procurement contract			
Categories of public entities	Goods	Works	Consultancy services	Non-consultancy services
Category 1	Estimated value of procurement not exceeding N$25 Million	Estimated value of procurement not exceeding N$35 Million	Estimated value of procurement not exceeding N$20 Million	Estimated value of procurement not exceeding N$15 Million
1. Offices, Ministries and Agencies as defined in section 1 of the Public Service Act, 1995 (Act No. 13 of 1995)				
2. National Assembly				
3. National Council				
4. Electoral Commission of Namibia				
5. All municipalities listed under Part I of Schedule 1 to the Local Authorities Act, 1992 (Act No. 23 of 1992)				
6. Namibian Ports Authority				

4.4 PROCUREMENT PROCESS

The Procurement process is initiated and implemented in accordance with the Act.

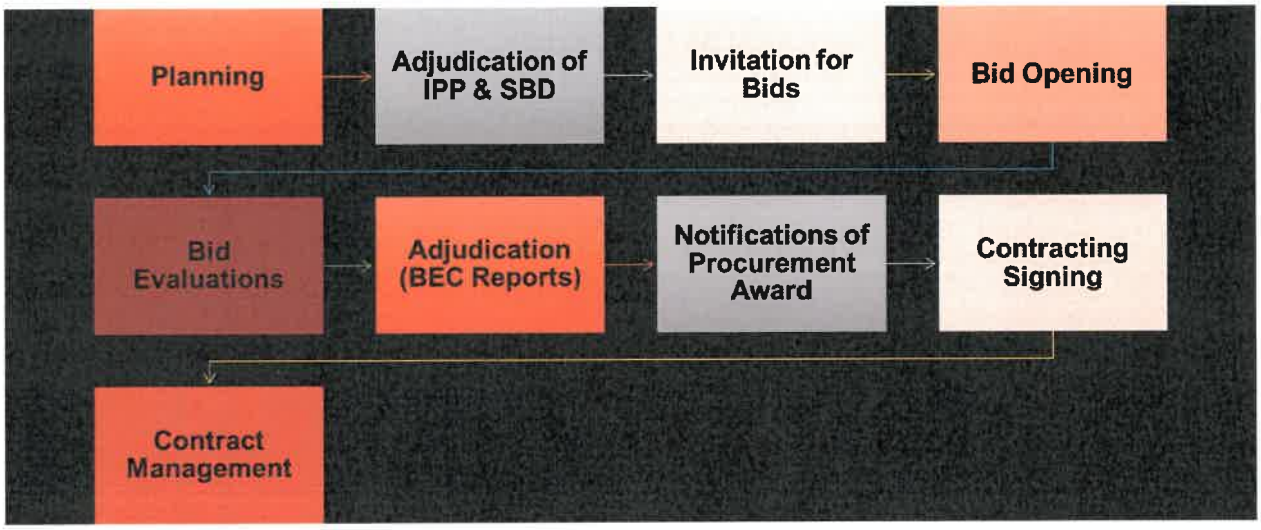
(a) Planning
Adjudication of Individual Procurement Plan and Bidding Documents

The public entity submits Individual Procurement Plan (IPP) and the Bidding document to CPBN.

(b) Invitation for Bids and Advertisement of bids within 30 working days.

(c) Bid Evaluations

(d) Adjudication
(e) Notification of procurement awards
(f) Contract signing
(g) Contract management



4.4.1 BID EVALUATION COMMITTEES

CPBN does not appoint BECs of O/M/As or public entities. However, there are approximately more than 300 persons (non-employees) on the database of CPBN with different expertise, experience and skills who have shown interest to be members of bid evaluations when requested by the CBPN. These individuals have expertise in such areas as [civil] engineering, quantity surveying, finance, chartered accounting etcetera.

It is only at that time when a bid has closed that CPBN appoints a BEC to evaluate the specific bid. The process is arranged close to the closing of the bid to avoid any kind of lobbying, leakage of information and contamination of the bid evaluation process.

In most cases the BEC at CBPBN does not exceed three members but it could be more when the Board nominates but then trimmed by the administration to ensure that the process is independent from the board and administration. Thus at the CBPN, each procurement is evaluated by an independence BEC.

BEC members are only invited closer to the date of the bid closing to avoid any kind of lobbying or any form of 'contamination' of the process.

Every procurement is evaluated by an independent BEC. In line with Section 26, the Board appoints the Bids Evaluation Committee (BEC).

The functions of BECs are:

(a) Evaluation of Bids Proposals or Quotations.
(b) Prepare evaluation reports for submission to the Board.

The appointment of Bid Evaluation Committees is done through the following procedures:

(a) The Board runs open-ended advertisements for any member of the public with the requisite knowledge and skills to apply.

(b) Applicants meeting the requirements are added to CPBN database

BEC members are not full-time employees of the Board but only serve on an ad hoc basis.

4.5 ALTERNATIVE OR DIFFERENT PROCUREMENT METHODS

The question arises as to whether CPBN as the implementing Agency of the Procurement Act of 2015, can advise O/M/As to utilise other forms of procurement such as direct procurement, other than public procurement, if such a form is found to be beneficial to the initiating body in terms of cost and the urgency of the needs? This question is being raised with reference to the procurement of medical goods where the costs are above market price (inflated) and when the Ministry is faced with shortages of medical goods due to lengthy procurement processes.

To the above question, the Board indicated that it is a creature of statute that has the power to do what is provided for in the Act.

CBPN does not have the power to utilize other forms of procurement other than what is provided in terms of Section 27 of the PPA.

In line with Section 9 (1) (k), the board is mandated to approve procurement method(s) as confined to Section 27 given the object it want to achieve.

The Public Procurement Act, 15 of 2015 *("the Act")* in section 27 as amended, also provides for different choices of procurement methods depending on the need, nature, and value of the procurement. The outlined methods include:

(a) Open Advertising Method, which comprise of:
- Open National Bidding (ONB);
- Open International Bidding (OIB)
(b) Restricted Bidding Process (RB);
(c) Emergency Procurement;
(d) Direct Procurement, etc.

In the case of the Supply and Delivery of Pharmaceutical Products to the Ministry of Health and Social Services (MoHSS), the Board in terms of section 9(1)(k) approved the OIB as the appropriate procurement method, in that:

(a) The estimated value of the procurement exceeds the prescribed threshold;
(b) The goods or services are not available under competitive price and other conditions from more than one supplier in Namibia.

The Board or O/M/As can only use the direct procurement method under the conditions stipulated in Section 36 (2) i.e.

(a) direct procurement for only one supplier with exclusive right to manufacture the goods or supply and no suitable alternative is available;
(b) within the prescribed limits, for additional deliveries of goods by the original supplier which are intended either as partial replacement or extension for existing goods, services, or installations and where a change of supplier would compel the public entity to procure equipment or services not meeting requirements of interchangeability with already existing equipment or service;
(c) within the prescribed limits, where additional works which were not included in the initial contract have, through unforeseeable circumstances, become necessary and the separation of the additional works from the initial contract would be difficult for technical or economic reasons;
(d) where, subject to a prescribed due diligence, the nature of the consultancy services requires that a particular supplier be selected due to unique qualifications; or
(e) where, subject to a prescribed due diligence, continuity of the consultancy services is essential to meet the objects of the procurement of the consultancy service.

CPBN Procurement processes have been subjected to open advertising or competitive bidding.

CPBN and public entities are not allowed to operate outside the Procurement Act and should therefore, carry out their functions and duties in conformity with the Act. Section 27 of the Act sets clear provisions on the choice of procurement methods.

Therefore, direct procurement is a choice of procurement method provided for in Section 27 of the Act. However, there are grounds for this choice of procurement, which are listed above.

With regards to the notion of inflated prices or prices above the market price, such illegal practices would be easily noticeable because prices of different unrelated bidders during open bidding, do not differ substantially. Mostly bidders offer what they obtain from the market, hence the CPBN cannot recall an instance where a bid was awarded with an inflated price.

4.6 CHECKS AND BALANCES: SUBMISSION AND VERIFICATION OF DOCUMENTS

Each procurement stage has an in-built check and balances.

The bidding documents are vetted to ensure that the evaluation criteria, formula and technical specifications are fair and not tailor-made.

The BEC reports are scrutinized to ensure fair application of criteria and formulas
There are enough safeguards against external influences in the procurement processes such as independent structures: BEC, Board, review panel and the courts.

All mandatory documents are required to be fully certified by a commissioner of oath (including qualifications of personnel).

Financial statements as reviewed by an accountant for a CC and by registered auditors for a Pty Ltd.

Due diligence is applied amongst others through validation and authentication of reference letters and completion certificates.

4.7 REQUISITE EXPERIENCE

Section 52 (9) states that every bid is evaluated according to criteria and methodology set out in the bidding document and the evaluated cost of each bid is compared with the evaluated cost of other bids.

4.8 NATIONAL OIL STORAGE AT WALVIS BAY, A CAPITAL PROJECT OF PUBLIC CONCERN

The board came into operation on 1st April 2017 and the tender for oil storage was already awarded in October 2014 by the previous Tender Board falling under the Ministry of Finance. Hence, when the board came into operation it was already an ongoing project. After establishment of the board, all ongoing tenders were transferred to the new board, hence, the new board could only approve variations for additional works, goods and services.

CPBN approved the contract variation for additional works in 2019 to the value to N$ 90,585, 228.88. The extension of time with cost on the contract to *force majeure* was awarded in 2021 to the value of N$ 87,500,000.00

4.9 THE SUPPLY OF MEDICAL EQUIPMENTS- "CONDOM TENDER"

This bid had four hundred and twenty-nine (429) different clinical product line items, among these products were condoms and gloves.

Thirty-eight (38) bidders were selected for award.

There has been a misconception that a condom is costing more than N$100.00 as reported by the media. The information in some media houses that one condom was costing N$148 was completely not factual and true. What costed N$148, was a pack containing 144 single condoms, which is basically N$0.69 per condom. The bid was for 100 000 packs at a cost of approximately N$15 million. Thus, 100 000 x 144 = 14,400,000 x N$0.69 = approximately N$15 million.

The correct information is that bidders were requested to quote on two types of condoms namely:

(a) Item No. 152 (42mm condoms) x 100 000 packs of 144 condoms per pack.
(b) Item No. 153 (Latex condoms 52 mm) x 650 000 packs of 144 condoms per pack.

The Board was accused and criticized for procurement of condoms while the procurement was done by the Ministry of Health and Social Services based on their needs and availability of funds; hence it is not the space of the board to instruct the Ministry not to procure condoms because people in the country are going hungry.

CBPN does not decide on business needs or procurement needs of offices, ministries, agencies, regional authorities, local authorities, state-owned enterprises or public entities. Therefore, it is not function of the CBPN to dictate to public entities what to procurement and not.

4.10 ALLEGED AWARD OF TENDER OF TWO BILLION NAMIBIA DOLLARS

CPBN is of the view that awarding a tender to a minor owning shares in a company is not a procurement matter but a legal provision in the Companies Act of 2004.

In this case, it was a company registered on the minor's behalf by the minor's father, the latter being the legal guardian. This is in accordance with the Companies Act. However, minors do not have legal capacity as they are represented by a legal guardian.

For this bid in question, one of the mandatory requirements was for the bidders to submit certified copies for company registration.

CPBN looked at the legal status, place of registration and principal place of business.

Representation and Directorship: The father of the minor is authorized to represent the child and serves as the sole director of the company.

Legal Framework in Namibia: Namibian Corporate Law does not prohibit minors from being designated as members or shareholders when establishing a legal entity.

Minors and Financial Interest: Corporate law universally recognizes that minors may hold shares or possess a financial interest in a company.

Contractual Capacity of Minors: While minors cannot independently enter into contracts if they hold shares or are party to contracts, they must be represented by an adult acting as their curator or guardian to act in their best interest.

Procurement vs. Company Law: The issue of minors owning a company is not a procurement matter but falls under company law.

Key Consideration: The pertinent question is whether minors should be permitted, under the Company's Act, to be shareholders in companies.

If there is a strong feeling and view that minors might be abused by the ones owning shares in the companies or if there are any other reasons, e.g. money laundering, proceeds of organized crime, or any other illegal means, Members of Parliament have the duty and responsibility to amend the Companies Act.

4.11 BOARD INITIATIVES

Key initiatives from the Board to address transparency, efficiency and effectiveness of processes are listed as follows:

Board's Strengthening Initiatives

(a) Automation of internal process to limit human interaction in the procurement process; and

(b) Leverage on Technology i. e. E-GP project initiated by the OPM and PPU.

4.12 TRAINING INITIATIVES BY THE BOARD

In terms of Section 7, the duty of conducting training is the mandate of PPU.

It is also the mandate and responsibility of O/M/As and public entities to train officials serving on PMUs, BECs and PCs.

CPBN through its engagements held trainings in the form of information seminars and so on. So far, CPBN had engagements with EDs of various ministries and public entities amounting to 23 representatives. Four (4) workshops were held for bidders, representing approximately 242 bidders or potential bidders in Ongwediva (55), Mariental (112), Swakopmund (44) and Nkurenkuru (31).

CPBN officials also attend trade fairs and expositions to educate and create awareness on the procurement system, as follows: Ongwediva Annual Trade Fair (2022 & 2023), Windhoek Agricultural Show (2022 & 2023), and Lüderitz Cray Fish Festival (2024).

At the time of consultation, CPBN was in the process to provide training to all heads of PMUs from all O/M/As.

4.13 PROCUREMENT OF LOCALLY PRODUCED PRODUCTS

What are the core initiatives to drive local procurement and empower Namibian entities?

Mechanisms in place to ensure that Namibian products are procured, mindful that Government is the largest procurer of goods, works and services.

CPBN representatives informed the Committee that they find it difficult to protect local Namibian products and the local market because the Public Procurement Act prevents that. The only legislative framework responding to protection of local goods and products, is the National Code on Good Practice. The Code is a set of guidelines within the Public Procurement Act, specifically focusing on preferential procurement practices that aim to empower local Namibian suppliers by giving them priority in government contracts, promoting local economic development and job creation; essentially, it outlines how to apply preferences and reservations for Namibian businesses when procuring goods, works and services.

The "National Code of Good Practice" also focus particularly on empowering and supporting the growth of SMEs by reserving certain government procurement categories for them, while still maintaining standards of quality and value for money; essentially prioritizing Namibian goods and services when purchasing for the government.

The National Code of Good Practice list the categories and associated percentage and threshold under N$ 10 million. For example, in the manufacturing industry, 51% of Namibians must be appointed.

The threshold stipulated in the Code is a procurement of goods and services of N$10 million allocated based on percentage e.g. manufacturer 1%; SME 1%; woman-owned enterprise 1%; youth owned 2%; previously disadvantaged 2%; supplier promoting environmental protection 1%; services rendered by Namibians 1%. In total 10%.

For a tender amount higher that N$10 million, the national preference is calculated at 3% Namibian shareholding; 4 % goods manufactured, grown, mined or extracted in Namibia; 1% if company employees between 50% and 60% Namibians in management. Incidentally, these thresholds do not provide adequate protection to Namibian companies.

CPBN advised the Committee to recommend the need to seriously reflect on this shortcoming and legislative gaps in the Public Procurement Act by providing adequate protection and effect to Namibian entities and manufactures, most importantly Namibian manufacturers. This protection is needed because Government is the largest consumer of goods and services in the country, hence, an entity cannot just set up a factory without an offtake agreement with Government due to the high operational costs etcetera.

MARGINS OF PREFERENCES WHEN EVALUATING BIDS FOR EXCLUSIVE PREFERENCE
(Paragraph 9(2))

Category	Margin of preference	Documentary evidence
Manufacturer	2 percent	-Certificate of registration from a registering authority -Declaration by the bidder that the manufactured goods meet the local content as determined in Annexure 6 as per the cost structure for Value Added Calculation in Annexure 1, and as certified by an Accountant
MSME	1 percent	-SME registration certificate -Declaration indicating the percentage of Namibian MSME ownership
Women owned enterprise	1 percent	- IDs of all shareholders -Founding statement/company registration indicating ownership structure/shareholder certificate - declaration indicating the percentage of Namibian female ownership
Youth owned enterprise	2 percent	- IDs of all shareholders - Founding statement/company registration indicating ownership structure/shareholder certificate - declaration indicating the percentage of Namibian youth ownership
PDP owned enterprise	2 percent	-IDs of all shareholders - Founding statement/company registration indicating ownership structure/shareholder certificates - declaration indicating the percentage of Namibian PDPs ownership
Supplier promoting Environmental protection	1 percent	-declaration and proof that the bidder meets the requirements set out in the bidding document
Service rendered by Namibian citizens	1 percent	-declaration that the bidder employs 50% or more Namibian citizens
TOTAL	**10%**	

4.14 COMPLIANCE TO SECTION 23 OF PPA (AUDITING)

The Audit Compliance certificates have been issued by the AG for the past 5 years from year ending March 2018 to March 2022. The Board obtained five (5) unqualified audits thus far.

The board is fully compliant with Section 23 of the Public Procurement Act and certified by the Auditor-General.

4.15 COMPLIANCE TO SECTION 24 OF PPA (TABLING OF ANNUAL REPORT IN THE NATIONAL ASSEMBLY)

In terms of the Act, not later than six months after the end of each financial year the Board must prepare and submit to the Minister an annual report relating to such financial year. Furthermore, the Minister must table the annual report in the National Assembly within 30 days of receipt if the National Assembly is in session, or, if the National Assembly is not in session, within 14 days after the commencement of its next session.

All annual reports have been issued and submitted to the Minister of Finance for tabling in Parliament; and the board is only behind schedule with the 2021/2022 which was in drafting stage.

The following reports were submitted to the Minister for tabling in the National Assembly.
FY 2017/2018
FY 2018/2019
FY 2019/2020
FY 2020/2021

4.16 SUMMARY OF PROCUREMENT AWARDED

An Overview of all procurements awarded by CPBN in volumes and values from 01 April 2017 to 31 March 2024

Procurement Contracts awarded by CPBN Companies Nationality	**No. of Procurement Contracts Awarded**	**Percentage**	**Value**
Contracts to Foreign Companies	11	7%	N$977,144,065.61
Contracts to JV (Namibian and Foreign)	5	7%	N$974,924,919.63
Contract to Namibian Companies	177	86%	N$11,844,954,478.50
Totals	193		

4.17 SAFEGUARDS AND RESPONSIVENESS

How does the Central Procurement Board ensure that tenders are awarded without bias, favouritism, or influence from external parties, and what mechanisms, systems and processes are in place to prevent insider trading or dishonest practices?

The procurement process starts at the O/M/As or public entity that determines its procurement needs. An individual procurement plan is then submitted to the CBPN. The CPBN considers the requirements and evaluation criteria, as a safeguard, particularly

checking that the evaluation criteria are not tailor-made to favour a specific bidder or company.

Thereafter, the bid is advertised in the media and the CPBN website. Thirdly, once the bid is advertised an evaluation process starts with an independent BEC that does the evaluation. From the opening of the bid until the first report is submitted to the Board, the board and administration are not part of the evaluation nor do they get involved.

The Board would then check the grounds for disqualification, the experience required and whether bidders have submitted adequate documentary evidence that substantiates their experiences.

Another safeguard is that, once the report is approved by the CPBN a notice of selection is offered. Bidders are provided an opportunity to file reconsiderations, should a bidder not be satisfied with the outcome.

For every bid, CPBN always have two copies on a USB as backup in the event a bidder states that he/she did submit documents. This is another safeguard to ensure credibility of the process and the integrity of the process.

Once the objection or reconsideration is cleared, the bid is awarded. The bidders still have an opportunity to file an application for review to the Review Panel which is an independent tribunal body sitting in the Ministry of Finance and Public Enterprises. The tribunal has the duty to review the conduct and decision of the O/M/A or public entity with regards to procurement.

Therefore, there are adequate safeguards for anyone who regard the procurement process as not being fair and transparent.

Checks and balances also include the request for reference letters in the bid and calls on those entities to verify whether the reference letters are authentic and legit.

The administration of the CPBN also does a final due diligence and credibility check by scrutinizing all documents submitted in order to verify whether all the requirements and criteria were met.

Common terms or colloquialism such as 'tenderpreneurism' and 'elitism' are socially coined terminologies which do not have application in the board's procurement process. Hence, the board will not be able to answer queries in respect of such practices. However, the board deals with entities and bidders that supply substandard and poor quality goods and services.

In terms of the Public Procurement Act, any failure to implement the contract or supply of goods and services, the public entity can apply to the review panel for debarment, debarring the particular company not to participate in public procurement for a certain period. Substandard and poor-quality goods and services by suppliers is punishable in terms Section 68 of PPA through suspension, debarment and disqualification.

There are a number of such examples mainly because the bidder provided substandard work or has either failed to complete the project. The same applies for bidders who submit fake documents e.g. reference letters, completion certificates, qualifications and so on. At the time of consulting with the CPBN, the CPBN's legal department was investigating a such case. Debarred bidders can be suspended for a number of years.

Furthermore, all mandatory documents must be certified by a commissioner of oaths. The financial statements required from companies, in the case of a closed corporation (CC) must be reviewed by a registered accountant and in the event of proprietary (Pty.) company must be certified by a chartered accountant.

Thus far, CPBN has not awarded a tender to a company not registered as company because registration is mandatory for every bid.

To meet the general experience criteria, the bidder must provide certain documents e.g. a completion certificate issued by previous employers or the principal agency reflecting the value of the contract/s completed by the bidder or company. When the bidder meets the requirements, points are scored. Points are also scored for the experience of employees in the company.

Seventy (70) points are needed in most cases to cross over to financial; and for financial; evaluation.

Finally, there is no basis for the board to award to a bidder whose prices are inflated.

4.18 ALLEGATION OF ILLEGAL OR QUESTIONABLE TENDER AWARDS

How does the board respond to allegations or legal challenges related to illegal or questionable tender awards and what measures are in place to address any shortcomings?

Litigation and court cases are mostly linked to interpretation of the Public Procurement Act in particular the requirements. Since the establishment of CBPN, 28 litigations were filed in court, 18 ruled in favour of CPBN, four cases ruled against, two cases settled out of court, three withdrawn and one cases still pending.

As the CBPN is represented by the Government Attorney, the board could not provide the Committee information on legal expenses incurred for the litigations.

Attached table outlines cases litigated in the courts.

4.19 INITIATIVES TO ASSIST THE CPBN IN STRENGTHENING THE PROCUREMENT SYSTEM AND PROCESSES

CBN has introduced the following initiatives to strengthen the procurement systems and process:

(a) Automation of the internal processes to limit people's interaction

(b) Leverage on technology for the GRN NDP procurement system

5. CONCLUSION

The Act provides for the procurement processes and procedures to address the concerns and issues raised in the Motion. However, the implementation of the Act is matter of concern to the Committee.

The Central Procurement Board has a larger function and duty to perform as overall agency responsible for procurement of goods, works and services in Namibia.

The Committee is of the view that the CBPN lacks adequate human and financial resources to carry out its functions. The Chairperson of the Board in the 2022/2023 Annual Report states that "the key strategic initiative for improving service delivery has been fostering a performance driven culture. We have developed and implemented a human capital development strategy and a performance management framework to achieve this goal. To achieve organizational excellence, we rely on deploying human capital, financial resources, information technology, and stakeholder engagement. We have adopted these initiatives to ensure our continued success."

CBPN should do more to strengthen the procurement system and process in the country. If that is not done, public trust in the systems, processes and institutions of Namibia including the CPBN will diminish.

6. RECOMMENDATIONS

(a) The Committee recommends that the National Assembly consider and adopt the report and the motion.

(b) Ministry of Finance and Public Enterprises and the Central Procurement Board of Namibia must find solutions to the concerns and issued raised in the Motion.

(c) Ministry of Finance and Public Enterprises and the Central Procurement Board of Namibia must strengthen the procurement system and process in the country to instil public trust in the procurement system and processes.

(d) The Central Procurement Board as the main agency responsible for procurement, must strengthen its oversight function through investigations, onsite visits, verification of the written content in the bid documents and quality assessments of bids awarded.

(e) Central Procurement Board should conduct more robust oversights of public entities when large amounts of public funds are involved.

(f) Ministry of Finance and Public Enterprises and the Central Procurement Board must review the current provisions in the Act and the National Code of Good Practice and introduce new mechanisms to ensure that Namibian products are procured, mindful that Government is the largest procurer of goods, works and services. Furthermore, Ministry of Finance and Public Enterprises and CPBN must seriously reflect on this shortcoming and legislative gaps in the Public Procurement Act by providing adequate protection and effect to Namibian entities, companies and manufacturers.

(g) Ministry of Finance and Public Enterprises (Treasury) should provide the necessary human capital, financial resources and information technology and other needed resources to the Central Procurement Board.

7. IMPLEMENTATION OF RECOMMENDATIONS OF COMMITTEES

In accordance with the Committee Rules of the National Assembly, when the Assembly accepts, with or without amendments, any recommendation of a Standing Committee on any subject, and the recommendation requires an Office, Ministry, Agency or Government Entity to perform or to refrain from performing an action, the Office, Ministry, Agency or Government Entity must comply with the recommendation of a Committee adopted by the Assembly, within a period of three (3) months or earlier.

SIGNATURES

..... Hon. Natangue Ithete (Chairperson)	Date. 13/02/2025
Hon. Mathias Mbundu (Deputy Chairperson)	.....
Hon. Dr Tobie Aupindi	.....
Hon. Apius !\Auchab	.....
Hon. Nico Smit	.....
Hon. Yvette Araes	.....
Hon. Bertha Dinyando	.....
Hon. Elifas Dingara	.....
Hon. Reginald Diergaardt	.....

Hon. Maria Elago	.....
Hon. Hamunyera Hambyuka	.....
Hon. Maria Kamutali	.....
Hon. Sebastiaan Karupu	.....
Hon. Johanna Kandjimi	.....
Hon. Marina Kandumbu	.....
Hon. Gotthard Kasuto	.....
Hon. Dr Daniel Kashikola	.....
Hon. Helaria Mukapuli	.....
Hon. Fennie Nanyeni	.....
Hon. Kennedy Shekupakela	.....
Hon. Jennifer Van Den Heever	.....